THE TIME IS NOW

10



WAYS TO DELIVER SMARTER, BETTER PROCUREMENT

SUPPLY MANAGEMENT INSIDER

coupa

ARE YOU READY TO LEAD?

That is the question facing many Chief Procurement Officers after they – and their teams – performed Herculean feats to keep their organisations afloat amid a level of social, economic and political disruption seldom seen in peacetime.

"Procurement was evolving into a more strategic role before the pandemic but, after helping organisations survive the crisis, the function has more credit and more attention from executives than it has ever had," says Michael van Keulen, CPO of Coupa, a leading global technology platform for business spend management. "Everyone's eyes were on procurement. Stakeholders who didn't really know what the function did suddenly understood why procurement mattered. It could manage costs, identify supply chain vulnerabilities, get the most value out of every contract – and, by helping the business become more agile, create value and deliver a competitive advantage."

At the height of the pandemic, many procurement functions were working around the clock to source mission critical materials, products and services. "Knowing where your materials were was the question that every procurement professional needed to be able to answer," says Nico Bac, former senior director of procurement at Procter & Gamble. "Technology was the solution but, in many instances, there was no digital record of delivery and ensuring continuity of supply became a manual task. It brought home to many organisations and procurement leaders that they needed to minimise the time they spent on administrative tasks – by digitising spend management – in order to focus on the issues that were at the top of their stakeholders' agenda."

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Winston Churchill would fix red 'Action this day' stickers to particularly crucial documents during World War II. The same sense of urgency is now required if CPOs are to cement their role as a strategic partner in the business. To achieve that, they need to champion digital transformation so they can continue to reduce costs, mitigate risk and help the business to remain agile. It would be disastrous for procurement, the people who work in procurement and the organisation itself if the function reverted to its old back office role. "When it comes to delivering outcomes for stakeholders, procurement can make a difference on everything from agility to cash flow to climate change and diversity and inclusion," says Van Keulen.

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In essence, he says, a CPO needs to be able to answer five fundamental questions:

- **How big is the spend?**
- **What am I buying?**
- **Do I have full visibility and control over everything that I am buying?**
- **What are our contracts – and when do they expire?**
- **Who are my stakeholders – and what outcomes do they want?**

Answering such questions will help CPOs realistically assess where they are today, what problems they must address and what changes they require. In terms of visibility and control, CPOs need to be on top

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of all kinds of spend: goods, services, contingent labour, travel and expenses etc. They also need to change the perception that they can be effective even if they are siloed and can only see certain types of spending. They can only achieve this – and create value for stakeholders – if every aspect of the business has been digitised.



As complex as procurement is, Coupa believes it can usefully be categorised into four stages:

STAGE 1

Tactical and operational

At this stage of maturity, procurement is primarily concerned with ordering and invoice processes.

STAGE 2

Efficient sourcing

The introduction of strategic sourcing, contract management and supplier management deliver significant savings across the organisation.

STAGE 3

Strategic category management

With more advanced procurement processes and technology, strategic, proactive category management can create value and efficiencies for the organisation.

STAGE 4

Achieving a competitive advantage through business innovation

Automated, digitised, processes enable procurement to be proactive, agile and focused on the outcomes that matter most to stakeholders. At this level, the function can drive innovation within itself, with suppliers and across the business, thereby creating a powerful competitive advantage.

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Many CPOs aim to reach Stage 4 but fail to recognise the challenges they face. For a start, the technological maturity of the organisation – and the function – will vary. Some businesses are still extracting data manually from emails and spreadsheets. Others have embarked on digital transformation, with varying degrees of success. A few have begun automating the back office.

Yet too often, Procure to Pay (P2P) processes are not truly digital, because the organisation is relying on a variety of outdated, poorly implemented legacy solutions that produce silos of data and restrict visibility. Inefficient manual processes, high maverick spend and inconsistent supplier management will drive up cost and expose the organisation to unnecessary – and often unknown – risks (especially when it comes to third parties and compliance) and make it less agile and proactive.

Every procurement function aspires to become more mature. In some cases, that will mean advancing to the next stage (or stages). In others, it may mean perfecting the stage they are in. To engage stakeholders in what should be a continuous process of improvement – and keep their eyes on the prize – CPOs need to articulate what maturity means for the business. That task will be eased if they can share a vision – and the steps that need to be taken to fulfil it.

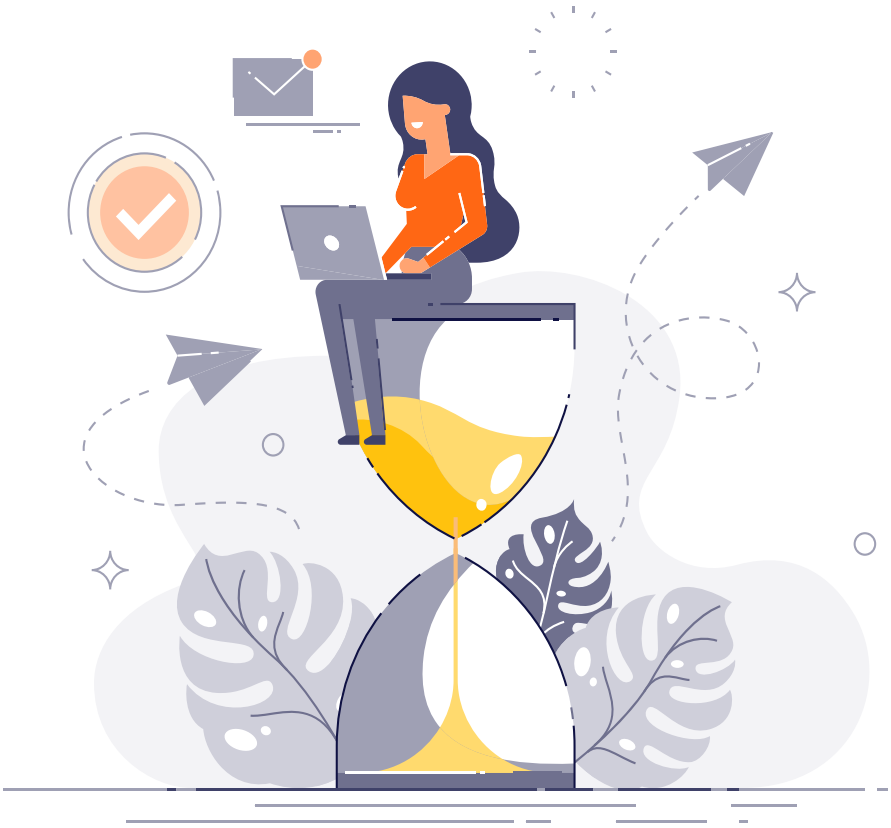
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As George Bernard Shaw famously pointed out, sometimes it is less useful to see things as they are and ask why than to dream of things that never were and ask why not? After the pandemic, procurement has an unprecedented opportunity to cement its new strategic role and define its own destiny. Here are 10 best practices which will help you on the journey to smarter, better procurement.





DIGITISE SPEND MANAGEMENT TO DRIVE ADOPTION

Many organisations find that the gains from digital purchasing or digital invoicing initiatives were not as significant as hoped. If you have a truly end-to-end digital process, the benefits multiply. When small suppliers can receive a PO by email, click a button to automatically turn that PO into an invoice, and then get text-message alerts on the entire process of invoice approval through payment, they will on-board.



AUTOMATE ACCOUNTS PAYABLE

At many companies, the procurement and accounts payable functions waste time doing things that technology could do smarter, better, faster and cheaper – and this is particularly true when it comes to invoices. Digital leaders use AP Automation technology to approve invoices for payment, matching each invoice with the corresponding PO to make sure the price and quantity are correct. Where appropriate, the system can match contracts for recurring services instead of a PO.

Goods receipts can also be included for a three-way match. Automating AP can also help ease the pressure on resources which can strain finance, accounts and procurement in times of crisis.

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CASE STUDY: BEACH ENERGY

Beach Energy, Australia's leading mid-cap oil and gas exploration and production company, had trebled in size with recent mergers and acquisitions. As consolidation got underway, the COVID-19 pandemic struck, reducing oil prices. By digitising its P2P and contract lifecycle management (CLM) processes on a single Coupa platform, the company managed spend more effectively and sourced critical parts to maintain production when suppliers struggled.

It took Beach Energy just three months to deploy Coupa's Business Spend Management (BSM) platform, enabling it to register vendors, process purchase requests and approvals, ordering, and payments and, through CLM, ensure that spending was on-contract and that invoices were automatically matched against contracts.

The major gains from this investment include:

- **Exceeding its pre-acquisition target for synergies by 150%.**
- **Around 68% of Beach Energy's annual spend – in excess of A$800m – is now on contract.**
- **More than 85% of invoices come through the platform digitally.**
- **Enhanced site-level accountability. Managers can see every item of spending.**
- **More proactive renegotiation – and extension – of contracts.**
- **Ease of use. Field users have one place to find and obtain items from inventory across four warehouses.**



"Having visibility across our expenditure at a group level and site level will help us optimise our efficiency and add value into the business, not just take out cost," says Hendrik Snyman, chief procurement officer at Beach Energy.

3 DIGITISE END-TO-END BY INCLUDING SUPPLIER MANAGEMENT AND PAYMENTS

Some of the gains from digitising invoicing and automating accounts payable will be lost if procurement has to manually update supplier information and intervene to ensure approved invoices are processed smoothly. BSM platforms can ask for missing supplier information when the supplier is receiving a PO or submitting an invoice so you could, for instance, warn a supplier you cannot pay unless they update their bank information. This creates a better user experience for the buyer and the supplier.

4 LOOK HARD AT CYCLE TIMES

Benchmarking approval cycle times for POs and invoices will tell you where you stand – and where you need to improve. If you lag behind benchmarks, review your approval workflows to identify 'rubber stamp' approvers who never reject but may delay things and whether you have too many people involved in approving small requisitions (say below $1000). BSM platforms can notify approvers when they are taking longer than average, encouraging faster approvals. Shorter cycle times are not just an internal organisational benefit, they can improve relationships with suppliers and give you greater agility when it comes to buying critical goods and services.



MEASURING SUCCESS

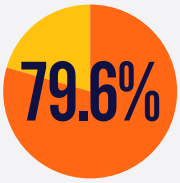
Every procurement function has its own key performance indicators which will legitimately vary – it would be naïve to expect an established mining company and a tech start-up to have the same targets – but benchmarking those against competitors (and for that matter, high performing non-competitors) is essential to achieve – and maintain – best practice. This is especially critical if the procurement function is to have clear sight of ROI.

A broader view of the relevant benchmarks is essential guidance for CPOs. That is why, every year, Coupa publishes a benchmarking report on business spend management which includes data on 16 key metrics, drawn from Coupa Community Intelligence, an AI-powered engine that analyses thousands of anonymised transactions across its customer network. From the 2021 report, five metrics were particularly significant.

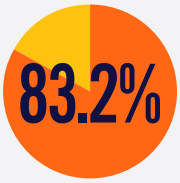
Across the community, Coupa found that:



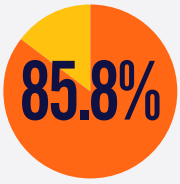
96.7% of spend was pre-approved. In other words, this spend had an approved PO associated with it.



79.6% of spend was on-contract – meaning it had been put through contracts that had been negotiated and established to reduce costs and improve terms.



83.2% of invoices were processed electronically, with no manual effort required.



85.8% of invoices were matched first time, meaning they required no extra handling or manual effort to process.



10 hours and 24 minutes was the average invoice approval cycle time – that is the time from when an invoice enters the system to the moment it is approved.

These metrics offer a snapshot of where many organisations are now. If you are looking for specific ideas about how to improve these – and other – metrics, download the **Coupa Business Spend Management Benchmark report**.

5 DON'T OVERLOOK SERVICES SPEND

Typically, service spend is one of the biggest categories – and its percentage of overall spend is growing. Yet too often, once the hard work of negotiating terms and conditions has been done, organisations struggle to monitor this spend thoroughly, possibly because it is being managed manually or in a separate system. In these circumstances, even finding out whether suppliers are fulfilling their Service Level Agreements (SLAs) can be a challenge. Incorporating this spend into the BSM platform will give you greater visibility and control.

6 WATCH THE TAIL

Many organisations spend 80% of their time on supplier management, dealing with tail suppliers who account for less than 20% of spend. These companies may offer niche goods or services or act as duplicate suppliers in categories that aren't being sourced or managed properly. Managing each of these suppliers may cost a few hundred pounds so the more you eliminate, the more money you save. If you redirect that spend with key suppliers, where you have negotiated better terms, you will also get more value. By taking more effective control of the tail spend you can mitigate the inevitable risks of spending that not has not been pre-approved and suppliers who have not been vetted.

7 CONNECT WITH S2C AND FINANCE

Integrating P2P (including goods, services and payments) with S2C can deliver savings, strengthen the supply chain and help you deliver on your D&I commitments. Connecting to finance gives that function greater insight into upcoming cash needs and can help them maximise cash – by, for example, spending on contracts with favourable payment terms, effectively using early-payment discounts or increasing on-card spend and rebates.



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SPREAD THE RISK

For many business users, risk is someone else's problem. The dangers of such an attitude became evident during the pandemic when the viability of some suppliers was in doubt and many goods and services suddenly became unavailable. By integrating P2P with supplier and third-party risk management, you can raise awareness of risk within the company, reinforcing the message that risk is everyone's responsibility. P2P can control spend to make sure it goes to risk-vetted vendors and risk teams can use the data to encourage a shift to lower-risk suppliers and be automatically alerted when spend is proposed with a higher-risk vendor.

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SOURCE FROM THE COMMUNITY

Even global businesses are having to think local when it comes to procurement. The emphasis on local sourcing, especially for companies dealing directly or indirectly with public sector organisations, has never been higher. Yet identifying these suppliers has, in the past, proven time consuming and difficult. Choosing a BSM platform that connects to community-powered sourcing programs can give you pre-negotiated, pre-on-boarded suppliers with savings of 5-30%. The most advanced programs contain millions of suppliers which are pre-classified to meet such specific needs as diversity and inclusion.

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AUTOMATE THE FIGHT AGAINST FRAUD

Identifying fraud efficiently and effectively is not easy – even for AP. Manual processes for detecting it are too cumbersome. No single person is in a position to spot trends across all invoices and expense reports. Too often, detection comes down to a selective or random audit. With AI-based tools, every transaction can be monitored and red flags raised for manual review before the money goes out of the door. If it's a fraudulent invoice, you spot it and don't pay.



WHAT DOES SUCCESS LOOK LIKE?

Building a smarter, better procurement function isn't entirely a matter of process or technology, it's about people too. In the high-tech, blended workplace of the future, defining, executing and developing best practice will make it much easier for CPOs to attract the best talent. The largest single demographic group today is Gen Z, the first digitally native generation, which accounts for 32% of the world's population. They are unlikely to enjoy spending their working day doing tasks manually which they know could be automated or be done digitally.

The rewards of a smarter, better approach to business spend management include – but are not limited to – widespread user adoption, risk mitigation in the supply chain, cost savings and a business that is more agile and, as a consequence, more resilient. In a world where there is no such thing as 'business as usual', procurement needs to seize the day.

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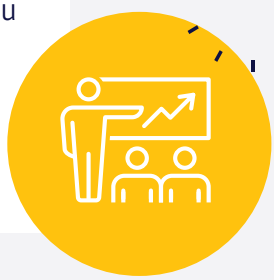
DRIVING CHANGE

"Every effective CPO has scars," says Michael van Keulen, Chief Procurement Officer of Coupa Solutions. "There are always rival opinions and investments and it's up to CPOs to ensure that they don't just have a seat at the table, but they have a voice and can make themselves heard." This is especially true for organisations seeking to transform procurement into a strategic function that drives innovation, adds value and provides a competitive advantage.

To manage this change, CPOs need to focus on five priorities.

1 Make the case

The challenge here is simple: procurement needs to be as good at making a case for its own needs as it is when it buys, spends and negotiates for other parts of the business. "If you have 30 seconds in the lift with the CEO, what are the messages that you know would grab their attention?" says Van Keulen. "If you are going to truly drive transformation, it means putting yourself on the line."





2 Have a clear champion

The CPO is not necessarily best placed to drive the transformation. They need to monitor it closely but they also need to manage upwards, influence – and react to – strategic changes or realignment of the business's goals. The best way to maintain momentum is to assign a champion who has a clear understanding of the project, can devote time to it when obstacles are encountered and involve stakeholders to make them feel involved and on message.

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3 Break out of silos

True transformation will only succeed if procurement's priorities are aligned to the organisation's goals. The best way to achieve that is to collaborate with – and learn from – other stakeholders, particularly in the critical functions of finance, legal and risk functions. It sounds obvious but too many organisations still fail to engage properly with users within the business hindering compliance and adoption.



4 Partner with IT



Procurement and IT touch every aspect of the business so it is imperative they cooperate rather than compete. Making an ally of the CIO will smooth deployment through the SaaS model, integrate with existing ERPs and simplify the technological landscape, giving procurement the time – and the tools – needed to fulfil a strategic, value-adding role.

5 Drive the narrative

Every transformation programme hits a rough patch which is why progress needs to be shared in an open, transparent and timely fashion. That way, challenges can be put into context, and measured against the programme's longer-term goals. Breaking out of silos is not a one-off event, it is a continuous relationship building exercise in which procurement can share the good news when KPIs are hit and, importantly, define success in a way – and using language – that the rest of the business instinctively understands.



About Coupa

Coupa empowers all businesses– from Fortune 1000 companies to the world's fastest growing organisations – to unify their supply chain design and planning, procurement, payments, and treasury processes in one comprehensive, cloud-based Business Spend Management platform. Coupa's community of 2,000+ customers uses the platform to maximise the value of more than US $2.3T of spend to date.

Contact

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